CASCADIA ANALYTICS

INVESTMENT SCORECARD

BSX

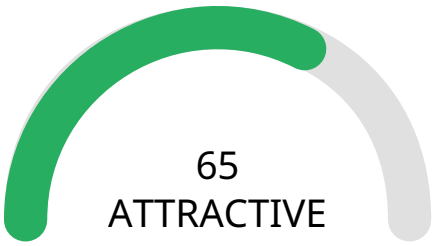
Boston Scientific Corporation (NYSE)

As-of: 17-Oct-2026 | Latest Filing: Q2 2026 (10-Q) | Currency: USD

$45.58 [Mkt 17-Oct-26]

Market Cap: $66.7B [Mkt 17-Oct-26]

Attractiveness Score



Confidence: **High** (0 pillars excluded)

Pillar Breakdown

1. Operating Quality — 80

Cardiovascular device leader with 69% gross margins, GAAP operating margins expanding 13.0% to 18.0% (FY22-25), ROE 19.3%, and conservative leverage (D/E 0.43). Scale, IP and physician relationships are a real moat.

2. Recent Trend — 55

Revenue grew 12.7B to 20.1B (FY22-25) but H1 2026 organic was 7% and H2 is pressured: WATCHMAN slowed sharply, EP lost US share, and management cut FY26 organic guidance to 5-6%. Trend is bending, not breaking.

3. Forward Growth — 55

New COO and 3-segment structure in Jan 2027, plus double-digit growth in IC/ neuromodulation/oncology, support recovery. But WATCHMAN structural slowdown, EP competition and the cyber disruption cap near-term visibility.

4. Valuation — 76

DCF base $70.17 vs spot $45.58 implies +54% upside. Forward P/E 13.1x with PEG near 1.0 is cheap vs device peers and vs own history (near 52w low). Reverse DCF implies -0.0% CAGR, well below the 3% bear case.

5. Catalysts & Risk — 55

Oct 28 Q3 print with the revised outlook is the clearing event. Management change and pipeline cycles are positives, but the cyber incident extent is unknown and guidance credibility is damaged. Skew is balanced near term.

Investment Thesis

- **Medtech Cash Compounder:** Cardiovascular device leader with 69% gross margins, GAAP operating margins expanding from 13.0% to 18.0% (FY22-25), ROE 19.3% and D/E of 0.43. Scale, IP and physician relationships form a genuine moat [10-K].
- **Air Pocket, Not a Broken Model:** Q2 delivered 7% organic growth and a 15% EPS beat [10-Q Q2 '26]. H2 pressure comes from WATCHMAN and EP share losses plus a September cyber incident, forcing an FY26 guide cut to 5-6% organic [8-K]. Painful but identifiable.
- **+54% Upside With a Trigger:** At $45.58 [Mkt 17-Oct-26], DCF base $70.17 implies +54% upside and the reverse DCF prices -0.0% CAGR, below the 3% bear case. The Oct 28 Q3 reset is the clearing event that can rerate the name.

Key Operating Metrics

Metric	Latest	YoY Change	3Y Trend
Revenue (Q2 '26)	$5.44B [10-Q Q2 '26]	+7.5% (7% organic) [10-Q Q2 '26]	Up
Adj EPS (Q2 '26)	$0.86 [10-Q Q2 '26]	+15% (beat $0.83 cons) [10-Q Q2 '26]	Up
Adj Op Margin (Q2 '26)	28.4% [10-Q Q2 '26]	+120 bps [10-Q Q2 '26]	Up
FY2026 Guide (cut)	5-6% organic, $3.28-3.32 EPS [8-K guid]	Cut from prior plan [8-K guid]	Down
Q3 '26 Guide	3-5% organic, $0.80-0.82 EPS [8-K guid]	Below consensus $0.83-0.84 [8-K guid]	Down
Sep 8 Disclosure	Cyber incident [8-K]	Q3 and FY guide unlikely met [8-K]	Down
Net Margin (TTM)	17.5% [10-Q Q2 '26]	+6 pts [10-Q Q2 '26]	Up
Consensus Price Target	$68.60 [Cons]	Moderate Buy [Cons]	Down

Historical Financial Trend

Metric	2022	2023	2024	2025	TTM
Revenue	$12.68B [10-K FY22]	$14.24B [10-K FY23]	$16.75B [10-K FY24]	$20.07B [10-K FY25]	$21.00B [Cons]
Gross Margin	68.8% [10-K FY22]	69.5% [10-K FY23]	68.6% [10-K FY24]	69.0% [10-K FY25]	69.2% [Cons]
Op Margin	13.0% [10-K FY22]	16.5% [10-K FY23]	15.5% [10-K FY24]	18.0% [10-K FY25]	19.8% [10-Q Q2 '26 (TTM)]

Valuation

Absolute (7/10)

Fwd P/E 13.1x [Mkt 17-Oct-26]
DCF Base $70.17 [DCF model]
PEG ~1.0 [Mkt 17-Oct-26]

+54% upside to the base case. A PEG near 1.0 is rare for a consistent double-digit EPS grower, though the cyber overhang earns the discount.

Versus Peers (6/8)

Large-cap device peers trade at higher multiples [Cons]

BSX screens cheap versus medtech peers despite a historically superior organic growth profile. The discount reflects near-term uncertainty, not structural decline.

Versus History (6/7)

Near 52w low $41.38 vs high $105.65 [Mkt 17-Oct-26]

Trading roughly 60% below its 52-week high after the guidance cut and cyber disclosure, at the low end of its historical multiple range.

Catalyst Timeline

28-Oct-2026 [8-K]
Q3 2026 Earnings + Revised Outlook (Two-Sided): Sep 8 statement says Q3 and FY guidance are unlikely to be met after the cyber incident. The reset print sets the new baseline.

Jan 2027 [8-K]
New COO + 3-Segment Structure (Positive): Joseph Fitzgerald takes over as COO; Interventional Therapies, Rhythm Solutions and MedSurg segments begin, designed to speed decisions.

Top Risk Factors (Item 1A)

1. Cyber Incident Overhang: September 8 statement says Q3 and full-year guidance are unlikely to be met after the incident; the extent of operational impact is unknown until the October 28 revision. [8-K]

2. WATCHMAN Structural Decline: The US WATCHMAN market slowed sharply and unexpectedly on compounding clinical evidence, shifting referral patterns. This was a core growth driver and may be structural, not cyclical. [8-K]

3. EP Competitive Share Loss: Management did not anticipate the degree of competitive share

> **2027** [8-K]
> Pipeline Acceleration (Positive): Interventional cardiology, neuromodulation and interventional oncology delivered double-digit growth in H1 2026; product cycles need to offset WATCHMAN/EP pressure.

What Would Change Our Score

The Oct 28 Q3 print plus revised outlook is the swing factor: if the cyber impact is contained and the new baseline is credible, Valuation and Trend rerate quickly. Another cut would drop Forward Growth and jeopardize the Buy rating.

movement in US electrophysiology. Share recapture is uncertain and expensive. [8-K]

Forward Growth Drivers

- Interventional cardiology, neuromodulation and interventional oncology delivered double-digit growth in H1 2026 [8-K]
- New COO (Joseph Fitzgerald) and 3-segment structure effective Jan 1, 2027 to speed decisions and improve capital allocation [8-K]
- 69% gross margins and 28.4% adjusted operating margins funding the pipeline and debt paydown [10-Q Q2 '26]

Missing / Modified Data Log

- ROIC not explicitly disclosed; used ROE 19.3% and margin trajectory qualitatively.
- TTM gross and operating margins from market data, tagged [Cons].

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